UNIT 2 — Entrepreneurship: Opportunity Evaluation, Business Planning & Strategy

1 ◆ Identifying Market Opportunities and Trends

What is a Business Opportunity?

A business opportunity is not something that comes by luck or chance — an entrepreneur has to **actively search** for it. It involves collecting information, analysing the business environment, and checking whether an idea can actually make money.

Two key things about every business opportunity:

- It is visible only to an **enterprising (alert) person**
- It requires **effort** to discover — not luck

An opportunity is called "attractive" only when it is:

- **Stable, mature, logical, and realistic** (not just a fancy idea)
- Has **market potential** — how much demand can it generate?
- Has **return on investment** — will it actually earn money?

How to Evaluate Market Potential

The entrepreneur compares:

- **Present demand and supply** vs **future demand and supply** (their own analysis)
- The **gap** between the two = the market need

> 💡 Sometimes the need is "created" — e.g., health drinks, energy supplements, mineral water. The market didn't know it needed them until someone introduced the idea. Even if a need exists, the business must be **commercially viable** — meaning a feasibility study must confirm it is profitable.

Opportunity Assessment Plan

An **Opportunity Assessment Plan** is a short document used to quickly check whether an idea is worth pursuing — before writing a full business plan.

How it differs from a Business Plan:

Feature	Opportunity Assessment Plan	Business Plan
Length	Short	Lengthy
Focus	The opportunity/idea	The full venture
Financial Statements	None	Included
Purpose	Decide whether to pursue	Guide implementation

It has 4 sections (2 major + 2 minor):

Major Section 1 — The Product/Service Idea

- What market need does it fill?
- Description of the product/service & specific features
- Competitive products already in the market (features & prices)
- Existing companies in this space
- What are the **Unique Selling Propositions (USPs)**?

Major Section 2 — The Market

- What market need is filled? What social condition drives this need?
- Available data on market need
- Size, trends, and characteristics of domestic/international market
- **Growth rate** of the market

2 ◆ Integration of Engineering Principles in Ideation Process

What is the Ideation Process?

The ideation process is a **structured, methodical approach** to generating and refining ideas that solve business challenges or create opportunities. Unlike random brainstorming, it ensures ideas are captured, organised, systematically reviewed, and aligned with strategic goals.

Stages of the Ideation Process

> **STAGE 1**
>
> **Problem Identification**
>
> Clearly define the **challenge or opportunity** before generating solutions. Involves: data analysis, stakeholder input, market research. Everyone involved must understand the problem clearly.

> **STAGE 2**
>
> **Idea Generation**
>
> Teams brainstorm **as many ideas as possible** — without judgment. Tools: divergent thinking, mind mapping, creative workshops, crowdsourcing. **Quantity over quality** at this stage.

> **STAGE 3**
>
> **Idea Evaluation**
>
> Filter ideas based on: **feasibility, potential impact, cost, strategic alignment**. Tools: SWOT analysis, scoring models, stakeholder feedback. Only **top high-potential ideas** move forward.

> **STAGE 4**
>
> **Implementation Planning**
>
> Turn selected ideas into **detailed action plans** — project plans, resource allocation, timelines, execution strategies. Requires collaboration across departments + continuous feedback loop.

Characteristics of a Successful Ideation Process

1. **Collaboration and Inclusivity** — Diverse teams generate richer, more creative ideas.
2. **Clear Objectives** — Define a specific problem so creative energy is directed meaningfully.
3. **Feedback Loops** — Continuously refine ideas at each stage before moving forward.

4. **Structured Evaluation** — Use clear criteria (feasibility, cost, alignment) to filter ideas.
5. **Supportive Culture** — Employees should feel safe to share ideas without fear of criticism.

3 ◆ Cross-Disciplinary Collaboration for Technological Innovation

Cross-disciplinary collaboration means **bringing together people from different scientific or professional fields** to work on a problem. These teams act as bridges between disciplines and lead to **integrated, holistic solutions** that no single discipline could achieve alone.

Why it Matters

- Breaks down knowledge "silos" — encourages sharing of methods and insights across fields
- Results in **inclusive and equitable technologies** — solutions that address broader needs and reduce bias
- Ensures innovations are **accessible and beneficial to all**

4 ◆ Assessing Market Feasibility and Demand Analysis

> STEP 1
>
> **Preliminary Analysis**
>
> **Purpose:** Quickly check if a full feasibility study is worth doing. Key activities include stakeholder interviews, market surveys, competitor analysis, and documentation review.
>
> **Decision:** *Go Ahead* — strong potential found → proceed to full feasibility study. *No-Go* — significant obstacles → rethink the concept.

> STEP 2
>
> **Market Research**
>
> The systematic process of gathering and interpreting information about a market.

Types of Market Research:

Type	Description
Primary Research	New data collected directly — surveys, interviews, focus groups
Secondary Research	Existing data — industry reports, academic papers, competitor analyses
Qualitative Research	Understand *why* people behave a certain way — interviews, focus groups
Quantitative Research	Numerical data — surveys with closed-ended questions for statistical analysis

STEP 3

Financial Feasibility

Checks whether the business idea makes **economic sense**.

A. Initial Investment Assessment

```
        Initial Investment = CapEx + ΔWC − D Example (Jane's Kitchen Bakery):
        New oven (CapEx): $5,000 Working capital increase: $800 Old oven sold
        for: $1,500 → Initial Investment = 5,000 + 800 − 1,500 = $4,300
```

B. Operating Costs Evaluation

```
        Total Operating Costs = COGS + OPEX Example (Sweet Treats Bakery): COGS
        = $1,950 | OPEX = $2,600 → Total = $4,550
```

C. Revenue Projections

Method	Description
Historical Trend Analysis	Extend past growth rates into the future
Customer & Sales Growth Model	Factor in new customers, churn rate, and average sale value
Bottom-Up Forecasting	Add up individual revenue components (products, segments)
Top-Down Forecasting	Start with total market size → estimate company's share

```
        Example (TechGadgets): Revenue from New Customers = 300 ×
$200 = $60,000
        Remaining Existing Customers = 1,000 × 0.90 = 900 Revenue
from Existing
        Customers = 900 × $200 = $180,000 Total Projected Revenue =
$240,000
```

D. Cash Flow Analysis

```
        Net Cash Flow = CFO + CFI + CFF Example (GreenTech): CFO =
$50,000 | CFI
        = −$30,000 | CFF = $70,000 → Net Cash Flow = $90,000 ✅
Positive —
        healthy!
```

E. Profitability Analysis

Ratio	Formula	What it tells you
Gross Profit Margin	(Gross Profit / Revenue) × 100	% of revenue after direct production costs
Operating Profit Margin	(Operating Profit / Revenue) × 100	% profit from core operations

Ratio	Formula	What it tells you
Net Profit Margin	(Net Profit / Revenue) × 100	% profit after ALL expenses
ROA	(Net Profit / Total Assets) × 100	How well assets generate profit
ROE	(Net Profit / Total Equity) × 100	Returns generated for shareholders

```
        Example (EcoClean): Revenue $500k | COGS $300k | OpEx $100k
Gross Profit
        Margin = 40% | Operating Margin = 20% Net Profit Margin = 14%
| ROA =
        17.5% | ROE = 28%
```

F. Break-Even Analysis

The point where **total revenue = total costs** — no profit, no loss.

```
        Break-Even Point (units) = Fixed Costs / Contribution Margin
        Contribution Margin = Selling Price/unit − Variable Cost/unit
Example
        (GadgetPro): Fixed Costs: $50,000 | Variable Cost/unit: $10 |
Selling
        Price/unit: $25 Contribution Margin = $15 BEP = $50,000 / $15
= 3,334
        units
```

> ⚠️ Beyond the BEP ⟶ Profit zone | Below the BEP ⟶ Loss zone.

5 ◆ Evaluating Technical Feasibility: PoC & Prototype Development

Proof of Concept (PoC)

An early-stage demonstration that answers: **"Can this idea actually work?"** It tests core technical functionality without full-scale production details.

Why PoC is Important:

- **Feasibility Testing** — Does the core technology work?
- **Risk Mitigation** — Catches major issues early, before heavy investment
- **Investor Attraction** — A working PoC boosts funding chances
- **Validation** — Provides evidence that the solution is achievable

Steps to Create a Proof of Concept:

1. Identify the Need — Clearly define customer pain points
2. Create a Roadmap — Plan timelines, resources, and milestones
3. Formulate Hypotheses — What do you expect the solution to do?
4. Execute the PoC — Build the prototype, run trials, collect data
5. Evaluate Results — Compare actual outcomes vs. expectations
6. Document Findings — Record successes, challenges, limitations
7. Make Recommendations — Proceed, modify, or abandon the idea

Prototype Development

An early physical or digital model created to **test design, functionality, and user experience** before full-scale production.

Types of Prototypes:

Type	Description	When Used
Low-Fidelity	Basic — paper, cardboard sketches	Early stage — quick concept visualisation
High-Fidelity	Detailed, realistic model using near-final materials	Advanced testing, comprehensive user experience
Digital	Software simulation of user interactions	Interactive testing without physical materials

6 ◆ Financial Feasibility Analysis — Summary

- **Cost Estimation** — Fixed costs (rent, salaries, depreciation) + Variable costs (materials, labour, packaging)
- **Revenue Projection** — Estimates future income using historical trends, customer growth models, or bottom-up/top-down forecasting
- **Break-Even Analysis** — Determines minimum sales volume to cover all costs

7 ◆ Elements of a Business Plan

Market

A detailed market analysis forms the foundation of your business strategy.

- **Market Size and Trends** — Understand total potential market and growth trajectory
- **Target Market** — Narrow by geography, demographics, or product preferences
- **Feasible Market** — The portion you can *realistically* capture

> ⚠️ The "feasible market" is always smaller than the "total market" — competition and industry conditions limit your share.

Pricing

Method	How it works
Cost-plus pricing	Total cost + profit margin
Demand pricing	Based on customer willingness to pay
Competitive pricing	Match market prices (when products are similar)
Markup pricing	Retailers add margin over product costs

Distribution

- Direct sales, OEM sales, Manufacturer's reps
- Wholesale distributors, Retail distributors, Direct mail

Sales Potential

```
        Sales (S) = Total Customers (T) × Average Revenue per
Customer (A)
        Project this for 3–5 years across different customer
segments.
```

Financial Statements

Statement	Purpose
Income Statement	Shows profit/loss over a period — Revenue minus all costs
Cash Flow Statement	Tracks money coming in and going out
Balance Sheet	Snapshot of assets, liabilities, and equity at a point in time

```
        Owner's Equity = Total Assets − Total Liabilities
```

8 ◆ Business Plan Overview

What is a Business Plan?

A **written document** that explains a business idea and lays out how it will be implemented — covering finance, marketing, production, and human resources.

Key Contents of a Business Plan

1. **Title Page** — Business name, logo, contact details
2. **Executive Summary** — 2-page summary of idea, market, goals, and financial projections
3. **Business Description** — Mission, vision, and unique offering
4. **Industry Profile** — Market trends and competition
5. **Product/Service Description** — Simple, jargon-free details
6. **Market Analysis** — Opportunities, strategies, sales forecasts
7. **Management Team** — Leadership and organisational structure

8. **Operational Plan** — Workflows, production processes
9. **Financial Plan** — Funding, projections, financial strategies
10. **Human Resource Plan** — Manpower planning, hiring, employee development

> 💡 The **Executive Summary** is the most important section — first thing investors see. Must be written *last*, maximum 2 pages.

Common Mistakes to Avoid

1. Submitting unpolished/rough drafts
2. Using outdated financial data
3. Making unsupported assumptions
4. Ignoring potential risks
5. Lacking understanding of financials
6. Overlooking external market influences
7. Failing to show personal investment in the business
8. Refusing to personally guarantee loans
9. Starting with unrealistic loan demands
10. Overemphasising collateral instead of cash flow

9 ◆ Strategic Planning

Peter Drucker (1955) first emphasised strategic decisions as choices about business goals. Later, **Alfred Chandler and Michael Porter** developed the "Classical Approach" — formal, long-term planning.

Key Features of Strategic Planning

1. **Questioning** — Where are we now? Where do we want to go?
2. **Long-term Focus** — Plans for future, while adapting to today
3. **Continuous Process** — Ongoing, not one-time
4. **Resource Allocation** — Shift focus to priority areas
5. **Coordination** — Align internal strengths with external opportunities

Levels of Strategy

Level	Focus
Corporate Strategy	Overall direction — which markets to enter/exit
Business Strategy	Tactics for specific markets or business units
Functional Strategy	Day-to-day operations to achieve business goals

10 ◆ Vision, Mission, Goals, Objectives & SWOC Analysis

1. Vision

A **forward-looking statement** describing where the company wants to be in the future. Inspiring, clear, concise, focuses on the big picture.

"To be the leading provider of sustainable energy solutions worldwide."

2. Mission

Defines the **current purpose** of the company — why it exists and how it plans to achieve its vision.

"We provide affordable and renewable energy solutions through innovation and sustainable practices."

3. Goals

Broad, long-term aims aligned with vision and mission. Usually set for 3–5+ years. Qualitative in nature.

"Expand market share in the renewable energy sector by 30% in the next 5 years."

4. Objectives

Specific, measurable, time-bound actions following the **SMART** framework — Specific, Measurable, Achievable, Relevant, Time-bound.

"Launch 5 new renewable energy products in the next 12 months."

5. SWOC Analysis

Component	Type	Meaning
Strengths	Internal	Advantages that give you an edge — strong brand, skilled team, innovative products
Weaknesses	Internal	Limitations that hold you back — poor customer service, outdated tech, limited funds
Opportunities	External	Favourable trends to capitalise on — rising demand, government subsidies
Challenges	External	Risks that could harm the business — competition, regulation changes, economic downturns

11 ◆ Competitive Strategy: Porter's Generic Strategies

1. Cost Leadership

Goal: Be the **lowest-cost producer** in the industry. Achieved through large-scale production, economies of scale, and tight cost controls. Products are typically standard, no-frills.

Examples: Walmart, McDonald's, Amazon, Southwest Airlines, EasyJet, Costco

2. Differentiation

Goal: Make your product or service **perceived as unique**. Achieved through creative advertising, distinctive features, superior quality, or technology. Companies can charge **higher prices** due to uniqueness.

Examples: Apple, Nike, Starbucks, Harley-Davidson, LEGO, Nespresso

3. Focus

Goal: Concentrate on a **specific niche** — a narrow segment or market.

- **Differentiation Focus** — Unique offering for niche → Rolls Royce, Prada, Razer, Omega
- **Cost Focus** — Low-cost offering for niche → Claire's, Home Depot

12 ◆ Growth Strategies

1. Organic Growth

The company grows using its **own internal resources** — no external funding or mergers needed. Self-sufficient; generates revenue that funds future growth.

2. Mergers and Acquisitions (M&A)

Companies are **combined** through financial transactions — purchase/absorb, merge to create a new entity, or acquire major assets. Higher risk than organic growth, but also higher potential rewards.

3. Strategic Alliances

An **arrangement between two or more companies** to undertake a mutually beneficial project while each **retains its independence**. Helps access new markets, technologies, or specialised skills.

13 ◆ Developing Business Models and Prototypes

What is a Business Model?

A company's high-level plan for **making a profit** — identifying what to sell, who to sell to, and how to manage costs. Includes a **Value Proposition**: what makes the offering desirable and different from competitors.

Revenue Model Options

Revenue Model	Description
Subscription-based	Customers pay recurring fees
Transactional	One-time payments per purchase
Advertising	Revenue from ad placements
Licensing	Charge others to use your IP/technology
Freemium	Free basic version; charge for premium features

Steps to Build a Business Model

1. **Conduct Market Research & Analysis** — Explore customer behaviours, preferences, and needs; identify market gaps
2. **Define Your Value Proposition** — Clearly articulate what makes your product/service unique and beneficial
3. **Choose Your Revenue Model** — Based on target market, industry dynamics, competitive landscape
4. **Design Distribution Channels** — Balance cost-effectiveness with customer satisfaction
5. **Build Strategic Partnerships** — Access new markets, technologies, and resources through joint ventures or alliances
6. **Foster Innovation and Adaptability** — Continuously innovate products, processes, and the business model itself

✅ *End of Unit 2 Notes — Entrepreneurship: Opportunity Evaluation, Business Planning & Strategy*